



**“A closer examination of the KPIs in BRSR Core reveals efforts aimed at enabling [India Inc.] to reduce... and report their environmental and social impacts, aligning with our goals to achieve climate-related objectives”**

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locations... for an EPC projects-focused company like L&T, it takes a significant amount of time and effort to collect, review, and report data,” says Pradeep Panigrahi, Head-Corporate Sustainability at L&T.

L&T has more than 700 project sites in India and in regions like the Middle East. Over time, L&T has developed organisational capabilities to enable data collection from sites, consolidation and review at the business level, and then final reporting at the company level.

## SIZE MATTERS

L&T’s experience highlights one crucial aspect of the new rules: firms that collaborate with other large ones may find it easier to meet the requirements on reporting on the value chain.

Take the case of chemical company SRF. “We are a B2B company with a majority of our customers being large organisations (many of them listed) or the companies to whom the BRSR or similar norms are applicable under various juris-

dictions; the focus will be on those to enable compliance with the revised norms,” says Rahul Jain, President & CFO of SRF Limited.

However, that may not be the case with firms that work closely with MSMEs (micro, small, and medium enterprises). To meet 75 per cent disclosures of their value chain as part of their annual reporting process, companies need to engage with stakeholders.

“Stakeholder engagement with the partners in the value chain will be critical for the companies to secure the requisite data in a timely manner,” explains Jaya Vaidhyathan, CEO of risk management company BCT Digital. This means they will also have to invest in systems that facilitate accurate data collection, she adds.

One way to manage the value chain puzzle is by working together as a sector so that best practices trickle down the value chain. “This collaborative effort benefits the whole sector and helps in faster implementation of supply chain-related sustainability aspects to achieve sustainable and respon-

sible business practices,” adds Bodhankar of Dalmia Bharat. This is particularly important for industries like cement because plants of different companies are clustered together.

But it’s easier said than done. “Implementation will necessitate investments in skill development, encompassing training and other efforts aimed at streamlining data management systems to ensure the accurate reporting of KPIs. Additionally, dealing with unlisted supplier and value chain partners may entail supplementary investments to establish the requisite data management systems,” says Rama Patel, Director at CRISIL Ratings.

The BRSR Core is a significant step. It is aligned with many internationally accepted frameworks, such as EU Taxonomy (a classification system for activities aligned with a net-zero trajectory), Global Reporting Initiative sustainability standards, Sustainability Accounting Standards Board, etc. In fact, experts believe BRSR Core is more stringent than most international standards. According to Deloitte, the EU will adopt limited assurance on ESG by October 1, 2026, and reasonable assurance by October 1, 2028. On the other hand, in India, BRSR was mandated in FY23, and BRSR Core reasonable assurance is mandated for the Top 150 companies from FY24.

Sebi is mindful of India’s developing country status. So, the BRSR Core follows a “comply or explain” principle, requiring companies to report ESG information as specified or provide a valid reason if they don’t. This gives companies enough time and flexibility to comply.

It is now over to the companies to comply, since ESG plays a pivotal role in promoting their long-term sustainability. **BT**

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